Policy Economy Explainers

— Analysis

A productivity primer: explaining the RBA's reality check

The Reserve Bank's productivity growth downgrade carries a grim message about our economy and living standards. These seven issues addressed by the bank outline why it's a problem.



Jonathan Shapiro
Senior reporter

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On Tuesday, the Reserve Bank of Australia dropped a bombshell of sorts [https://www.afr.com/link/follow-20180101-p5mm85]. On the eve of Treasurer Jim Chalmers' marquee gathering to

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discuss productivity, the RBA has thrown in the towel.

After years of watching, hoping and waiting for productivity growth to improve, it has accepted the grim reality that it's slowing. It now expects productivity growth – the increase in economic output per hour worked – to be 0.7 per cent, down from 1 per cent.



The RBA is finally recognising that it has been too optimistic in assuming productivity growth will pick up. **Steven Siewert**

Productivity is a concept that is often discussed but not often understood. Here are seven important questions answered by the Reserve Bank about why its underlying message is so consequential to our future prosperity.

What is productivity growth?

Productivity growth, the RBA explains, is when the economy "finds new and better ways of using its resources".

This could involve lifting the skills of its workforce or allocating its resources in a way that improves output. It is about "working smarter, not harder" and has been driven by things that have made work easier, such as personal computers, the internet and automation, the central bank explains.

Why does it matter?

If there is high productivity growth the economy can produce more per a given set of inputs. This in turn supports stronger income growth, more spending and a greater incentive to invest.

"Productivity growth makes goods and services cheaper to produce and consume. In the 1960s, the average worker needed to work for 10 minutes to afford a loaf of bread, but today it takes four minutes.

"It also supports higher wages and incomes, as the overall economic pie is larger and workers can get paid more without raising costs for businesses. So productivity growth drives growth in per capita incomes over time."

Is Australia unique?

No. With the exception of the United States, several other central banks have been forced to revise down their assumptions of trend productivity growth, including the Bank of England, Bank of Canada and Reserve Bank

of New Zealand.

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What is causing lower productivity growth?

It's a bit of a mystery. The RBA says that the "global slowdown has been explored extensively in economic literature, though it is still not fully understood".

Some factors the RBA says are important are: declining business dynamism – resources are not moving to more productive firms; a slower pace of technological adoption; lower competition, which reduces the urgency of firms to lift their game; and regulatory barriers, with the construction industry singled out.

The central bank says other causes may be

slower growth in skills among workers, less trade and challenges in measuring productivity.

Labour productivity growth, which measures output per hour worked, has slowed since 2016 because the growth of capital, such as machinery, equipment and workspace, hasn't grown at the same rate. This is known as capital deepening.

Why did the RBA downgrade its assumptions?

The RBA is finally recognising that it has been too optimistic in assuming productivity growth will pick up. The factors it thought were temporary are now considered persistent – it expected productivity growth

of 0.7 per cent over the next two years, which it says is the 20-year average of labour productivity growth.

It still expects productivity to lift over the short term, but to a lower level – the measure it says is consistent with other forecasts, such as NSW Treasury's long-run forecast of 0.8 per cent.

What are the consequences?

All up, this is not good news. The consequences of weaker productivity growth are an economy that grows slower, and a slower increase in living standards that comes with higher incomes. The choices we have are also constrained if incomes are not growing. We have to choose one thing over

another rather than having more income to spend on more things.

The RBA has downgraded its assumptions of trend economic growth as it assumes lower productivity growth. But it still expects unemployment and inflation to stay within its forecast range, as the gap between the supply of goods and services and demand for them will remain consistent.

But it admits it could be wrong.

"If productivity growth is lower than households and businesses expect, as they are yet to revise down their expectations for income growth, this could add inflationary pressure as growth in demand outstrips supply capacity," the RBA says.

"On the other hand, if productivity growth

turns out to be higher than they expect – for example, having taken signal from the very slow productivity growth in recent years – growth in supply capacity could outstrip growth in demand and reduce inflationary pressures."

What about AI?

There is no shortage of hype about how artificial intelligence is going to give us all a productivity boost. But there is division. The RBA says productivity growth could sink lower, but the adoption of AI might unleash economic dynamism.

But its liaison program suggested firms aren't totally enthused about technology boosting productivity, and said the rising software costs were eating gains while more

staff might be needed to use the new tech they acquire.

Just what AI means for productivity is a big global debate, and will rest on whether displaced workers can be reassigned to new roles that increase output per hours worked.

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